25901653 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026

SECOND SEMESTER

Discipline Specific Core Course (DSC) - MG2DSCECO100 - ESSENTIALS OF ECONOMICS - II

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. An Enquiry into the Nature and Cause of Wealth of Nation is written by [K] / [CO1]

   a). Adam Smith b). Alfred Marshall

   c). David Ricardo d). J B Say

2. Who is the founder of neuroeconomics? [K] / [CO2]

   a). Paul W. Glimcher b). Richard Thaler

   c). Daniel Kaheneman d). George Loewenstein

3. What is a common trade-off when implementing policies to improve fairness? [U] / [CO4]

   a). Increased inflation. b). Reduced economic efficiency.

   c). Lower government spending. d). Higher unemployment rates.

4. Which psychological phenomenon occurs when people make decisions based on what others are doing, even if it contradicts their own beliefs or preferences? [U] / [CO4]

a). Peer pressure. b). Cognitive bias

c). Confirmation bias d). Altruistic behaviour

5. RBI issues currency notes on the basis of [K] / [CO5]

a). Minimum reserve b). General reserve

c). Proportional reserve d). Gold reserve

6. Which financial market deals with long-term investment funds? [K] / [CO5]

a). Money market b). Capital market

c). Commodity market d). Derivative market

7. …….. can be defined as the market in which financial assets are created or transferred [K] / [CO5]

a). Financial Market b). Financial Service

c). Financial Instrument d). Financial Institution

8. What is cyclical unemployment caused by? [K] / [CO6]

a). Economic recessions b). Workers switching jobs

c). Changes in industries due to technology d). Seasonal variations in employment

9. Which of the following represents an expansionary fiscal policy? [U] / [CO6]

a). Reducing government spending and increasing taxes b). Increasing government spending and reducing taxes

c). Maintaining a balanced budget d). Restricting public debt

10. GNP MP- Depreciation is ---- [U] / [CO6]

a). GDPMP b). NNPMP

c). NNP FC d). GNPFC

[1x10 = 10]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **3** marks

11.	What is the relationship between moral hazard and asymmetric information?	[U] / [CO3]
12.	What are the major Services offered by Financial Market	[U] / [CO5]
13.	What is Formal Financial Sector	[U] / [CO5]
14.	Differentiate between income method and expenditure method.	[K] / [CO6]
15.	What is an example of adverse selection in the used car market?	[U] / [CO3]
16.	Describe the role of time in economic decision-making.	[U] / [CO2]
17.	Explain the agency function of commercial bank.	[U] / [CO5]
18.	Mention any two differences between capital market and money market.	[U] / [CO5]
19.	What does a rising GDP Deflator indicate about the economy?	[U] / [CO6]
20.	Discuss the significance of 45degree line in Keynesian Economics.	[A] / [CO6]
21.	What is the role of SEBI in the capital market?	[U] / [CO5]
22.	How can government intervention help solve the problem of asymmetric information in the market?	[A] / [CO3]
23.	What is Stock Exchange and its role in an Economy?	[U] / [CO5]
24.	Write the names of any three types of NBFIs in India.	[K] / [CO5]
25.	How can peer pressure lead to irrational economic choices?	[E] / [CO4]

[3x10 = 30]

Part C

Short Essay Questions

Answer any **5** questions

Each question carries **6** marks

26.	How do cultural and societal norms influence the preferences of individuals and groups?	[An] / [CO4]
27.	Discuss the significance of primary market in an economy.	[U] / [CO5]

28.	Define monetary policy and its primary purpose.	[K] / [CO6]
29.	Discuss functions of financial services.	[U] / [CO5]
30.	Describe the importance of trust in economic transactions.	[U] / [CO4]
31.	Examine the functions of secondary market.	[K] / [CO5]
32.	Discuss how equilibrium is achieved in a two-sector economy using the Keynesian approach.	[U] / [CO6]
33.	Discuss the relationship between nominal interest rate, real interest rate, and inflation.	[U] / [CO6]
34.	Define money market and capital market. Compare their functions.	[U] / [CO5]
35.	What is herd behaviour in economics? Discuss its impact on financial crises.	[U] / [CO4]

[6x5 = 30]